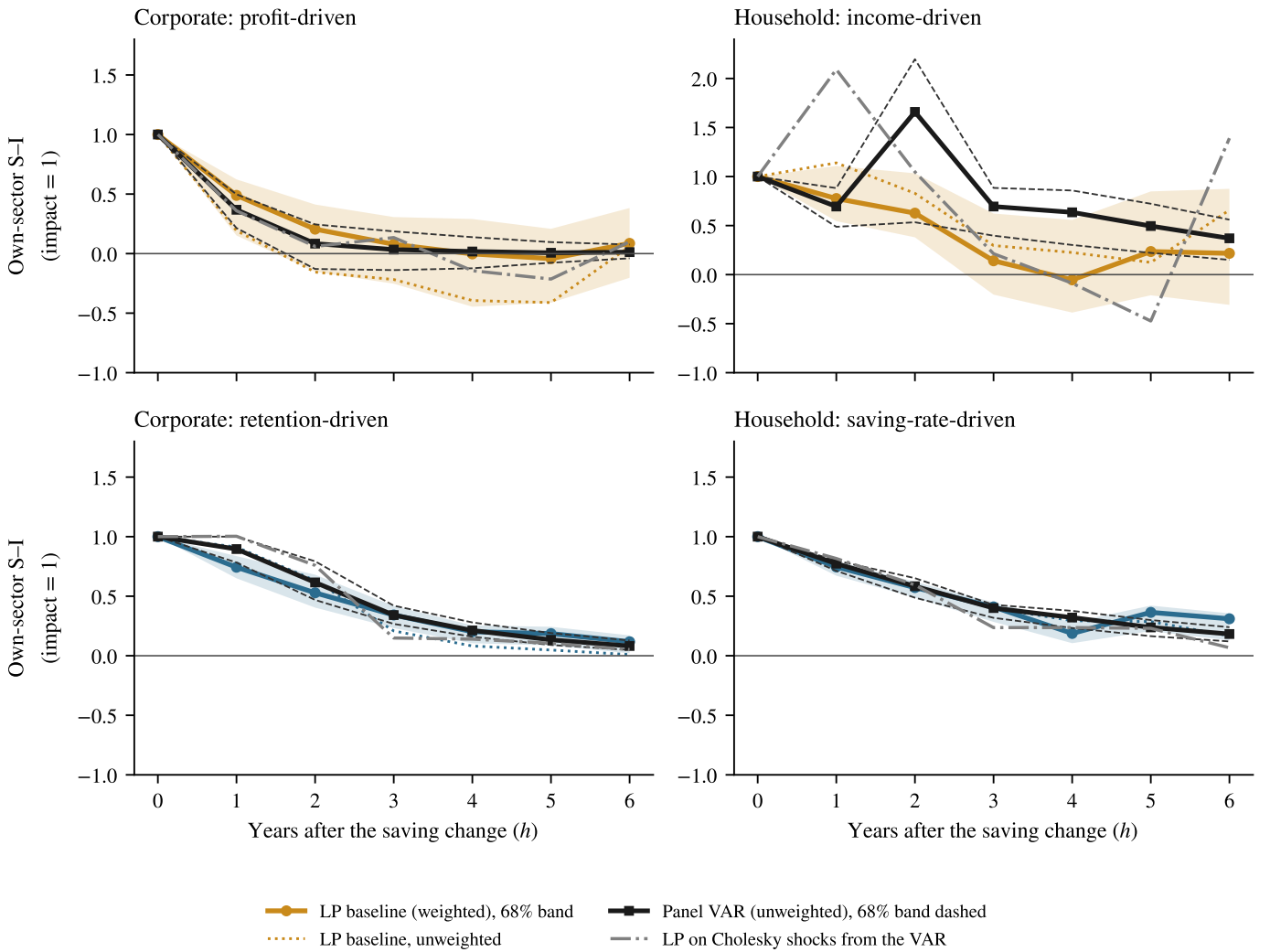
Local projections and a panel VAR



Notes: Panel VAR in the four components, GDP growth and the two sector balances (levels), two lags, country and year fixed effects, estimated on 1093 country-years (38 economies, 1973–2025). Cholesky ordering mirrors the LP: the same sector's other component comes first (held fixed at t), the other sector's components, growth and the balances come after (free to respond). Responses are normalized by the impact response of the own-sector balance. 'LP on Cholesky shocks' regresses the balance on the identified shock with country and year fixed effects only. Country-cluster bootstrap (499 replications).